The Swatantra [literally Independent] Party of the 1960s led by veteran Congressman Chakravarti Rajagopalachari (or Rajaji as he was popularly known) also opposed Nehru's liberal internationalism and Fabian socialism. It reflected the views of the business community, former bureaucrats and former royal families from British India's princely states. Swatantra Party's major policy planks included support for free-market economics, desire for close ties with the US and not the Soviet Union during the cold war and realism, not liberal internationalism, as the basis of India's foreign policy. While these views had some support among intellectuals and elite groups, the party lacked a mass base. Moreover, different party leaders espoused differing views at times. Rajaji, referred to by Mahatma Gandhi, as the 'keeper of his conscience', was a pacifist whereas another leader Minoo Masani was vehemently anti-communist and pro-Western and was not prepared to forsake war.

The Swatantra Party offered a sharp contrast to Nehruvianism. It championed 'alignment' or building regional alliances including joint defence with non-communist countries from Israel in the Gulf to East Asia including Japan, Australia and New Zealand. [63] It is interesting that the foreign policy initiatives of Prime Minister Narendra Modi since his election in 2014 embrace some of the ideas championed by the Swatantra Party during the 1950s and '60s.

Like Patel within Congress, the Swatantra Party believed in the importance of having superpower backing and sought to align with the West, not the Soviet bloc. The Western democracies were viewed as having more resources and the Americans would be more likely to support India against China, which the Swatantra Party saw as the main threat to India. They turned out to be correct when in India's conflict with China in 1962 it was not the non-aligned countries but the West that came to India's aid. When critiqued for being willing to 'surrender their sovereignty' by joining military alliances, Swatantra Party leaders responded by saying, 'If